

Procure Space ETF

SPCX NASDAQ

Buy	\$172.30 ▲ 0.71%	12M Price Target \$195.00	52-Week Range \$104.83 – \$225.64	Market Cap \$2.27T
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SPCX: Space ETF Ripping as Defense Dollars Flow

WHAT HAPPENED

- SPCX ripped roughly 14% in four trading days (\$148 → \$172) — that's a huge move for an ETF (ETFs usually move with their basket of stocks, so when the whole thing jumps 14%, the underlying space names are flying). This looks like a sector-wide re-rating, probably driven by the latest round of DoD and NASA contract awards plus continued momentum in commercial launch cadence.
- Options flow is screaming conviction — 68K calls at the \$175 strike expiring this month is "unusual" (meaning way more than normal), with notional value near \$18M. Translation: someone with real money is betting this keeps running through October.

WHY IT MATTERS

The 14% rip in a week without major news tells me this is positioning, not reaction — big funds are quietly building space exposure ahead of what they think is a multi-year defense/space supercycle. With the Space Force budget expanding and the Golden Dome missile defense initiative requiring massive satellite constellations, every launch provider and satellite builder in SPCX's basket has a growing order book. The put/call ratio of 0.79 (meaning more call buyers than put buyers — bullish) combined with heavy call volume at \$175 suggests traders expect a breakout above the 52-week high of \$225 is possible if momentum holds. Watch for a pullback to \$160 as a healthy reset — if it holds that level, the next leg targets \$200+.

POLICY & POLITICAL WATCH

The big one: the FY2027 defense authorization is working through Congress, and space-based missile defense (Golden Dome) is a bipartisan priority — if it survives reconciliation intact, that's tens of billions flowing to satellite builders and launch providers that make up SPCX's top holdings. Also watch the FCC's spectrum allocation decisions for low-earth-orbit satellites — favorable rulings help SpaceX/Starlink competitors in the ETF, unfavorable ones squeeze them. The regulatory environment is the friendliest it's been in a decade for space — both parties see China's space program as a national security threat, which means space spending is one of the few truly bipartisan budget items.

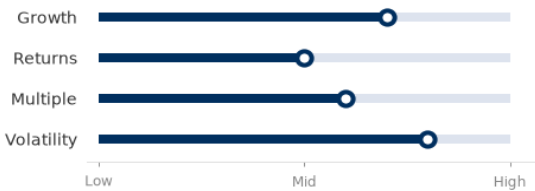
IS IT EXPENSIVE?

SPCX is a thematic ETF, so you're not looking at traditional P/E — you're paying for exposure to a basket of space companies, many of which are unprofitable but growing revenue 30-50% a year. At \$172, we're at 56% of the 52-week range, meaning there's room to run back toward the \$225 high if sentiment holds. The real question isn't "is it cheap" — it's "is the space thesis real" — and with government money flowing and launch costs falling, the answer looks like yes.

Key Data

Price (USD)	\$172.30
12M Price Target	\$195.00
Upside / (Downside)	+13.2%
Market Cap	\$2.27T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$185.00	\$178.00	\$160.00
6 Months	\$210.00	\$190.00	\$150.00
1 Year	\$240.00	\$195.00	\$140.00
2 Years	\$300.00	\$230.00	\$130.00
5 Years	\$450.00	\$320.00	\$120.00
10 Years	\$700.00	\$500.00	\$100.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.24%) and Energy (+3.90% over 5 days) — classic signs of money positioning for a power-hungry AI/data center buildout plus geopolitical energy premium. Industrials up too, which rhymes with the space/defense trade.

COOLING OFF: Nothing is really breaking down today — this is a broad risk-on tape with defensives (utilities) ALSO bid, which is unusual and suggests money is just flowing into the market generally.

ROTATION WATCH: Money is quietly rotating into "hard asset" and infrastructure plays — space, energy, industrials, utilities. The common thread: all benefit from government spending and physical buildout, not just software/AI hype.

RELATED PLAY: If space keeps running, watch the pure-play defense primes (LMT, NOC, RTX) and the semiconductor names that supply radiation-hardened chips for satellites — they're the picks-and-shovels of the space trade.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Launch cadence accelerating, Neutron rocket progress, growing DoD contract wins — a core SPCX holding doing the heavy lifting.
- LHX (L3Harris): Defense electronics and space systems benefiting directly from Golden Dome budget talks.

SPCX CONTEXT: SPCX is leading its sector right now — the 14% weekly move outpaces most individual defense names, which tells me the ETF is capturing broad space enthusiasm rather than one-off stock stories. That's a healthier setup because it means the whole industry is being re-rated, not just one name.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but I'd rather buy a pullback than chase this 14% rip; the thesis is strong but entry matters.

POSITION SIZE: 2-4% of portfolio — space is volatile and binary on individual names, but the ETF structure smooths that out so you can size a bit bigger than a single stock.

ENTRY POINTS: \$160-165 on any pullback — if it reclaims \$175 with volume, you can add on strength too.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is the FY2027 defense budget passage and continued launch cadence milestones.

WHEN TO BAIL: If SPCX breaks below \$150 on heavy volume (that's the pre-rally base) or if Congress strips Golden Dome funding — either kills the momentum story.

HEDGING: Simplest hedge is to keep position size reasonable and pair it with something defensive like a utility ETF; if you want to get fancy, buy a cheap put a few months out as insurance against a sector-wide drawdown.